

This Dictator Does: Singapore and Authoritarian Tax Theory

By Harrison Velentzas

S4180313

GPE: Group 108

Introduction

The literature of comparative political economy generally holds that tax competition is a democratic game. Genschel et al. (2016) argue that autocracies systematically do not compete on this front because authoritarian regimes maintain their power through coercion and elite support rather than through economic performance that benefits the people. They have little incentive to make their economy attractive to foreign capital and yet Singapore stands out amongst other authoritarian regimes. Governed without interruption by a single party since 1965, Singapore operates one of the world's most aggressively capital-friendly tax regimes. They have long maintained one of the lowest statutory corporate tax rates in the world (Verweij and Pelizzo 2009, 19, 26). In their article *Dictators Don't Compete*, Genschel et al. (2016, 294) acknowledge Singapore as an exception to their argument without fully accounting for it as part of their theory. This essay takes this exception seriously. Using Singapore as a deviant case, it will argue that Genschel's core mechanism: that autocrats face no pressure from the public to attract capital, does not hold up in cases where the regime's survival is tied to economic prosperity, meaning that a more nuanced framework is required to accurately describe the relationship between governance and corporate tax strategy.

Theory

To understand how Singapore challenges the theory, it is necessary to first lay out this theoretical framework. Genschel argues that the extent of a state's engagement in tax competition is fundamentally shaped by the type of regime. The central claim is that democracies are structurally incentivized to compete for foreign capital via low corporate tax rates whilst autocracies do not face the same structural motivations. This divide is underwritten by the different sources of legitimacy and power between regime types. Democratic leaders depend on a broad electoral mandate meaning that they must deliver economic performance that benefits the general population. Attracting foreign investment through competitive tax policy is one method to do so, generating growth, employment, and prosperity in the process which reflects well on elected officials, enabling them or their party to be reelected. Autocratic regimes on the other hand rely on a narrower support base typically found in military elites, party loyalists, and oligarchs. The loyalty of these actors can be secured with selective patronage and coercion that does not require broader economic performance (Genschel et al., 293-294). Bueno de Mesquita et al. (2003, 91-94) elaborate on this logic with their selectorate theory. They argue that the smaller the winning coalition a leader needs to survive the less pressure faced to deliver public goods. Beyond willingness, the authors also argue that autocracies' lack of rule of law and institutional checks undermine the credibility and stability of capital-friendly policies which may dissuade risk-averse investors (Genschel et al. 2016, 296-297).

Tax competition itself is the deliberate use of fiscal policy to attract international capital. Genschel et al. (2016, 290) define tax havens as "countries that make a sustained effort to attract mobile foreign capital by low or zero tax rates". They highlight that tax havens have GDP per capita that is, on average, twice that of non-tax havens. Yet their theory predicts an authoritarian leader would forgo these potential gains because the logic of the selectorate theory removes the incentive to do so (2016, 294). An elected leader may lose an election for poor economic performance, but an authoritarian leader only faces removal if the poor

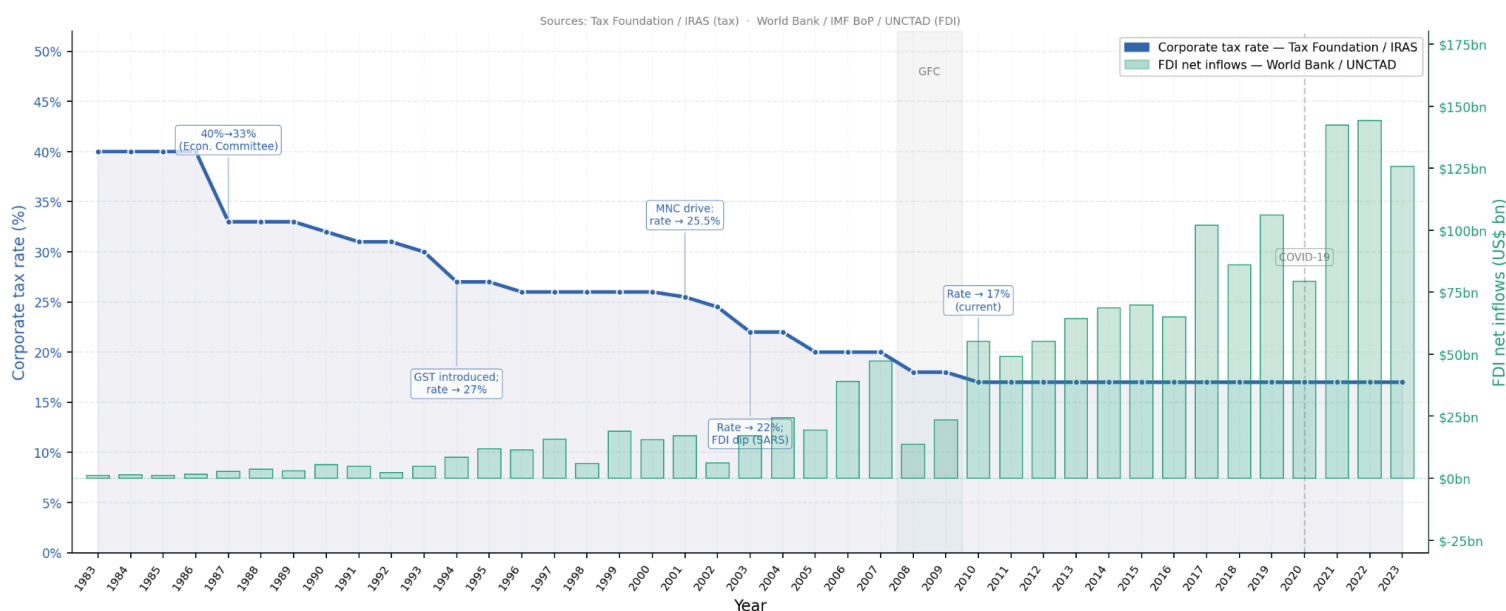
economic performance affects their elite supporters. Genschel et al. find that authoritarian governments do not adjust their tax rates based on country size, unlike democracies. Yet Singapore exists as an authoritarian state which has pursued capital-friendly tax structures. Despite recognizing this exception and explaining the conditions that make this so, Genschel et al. do not incorporate it into a more robust theoretical framework that could account for the conditions under which such exceptions can arise. It is this unresolved complexity that this essay seeks to address. The inability of these authors' theory to account for the case of Singapore suggests that the theory is missing a crucial consideration for the type of legitimacy on which a given authoritarian regime depends.

The Case of Singapore

Singapore is a deviant case for this theory, having an authoritarian government, the independent variable, whilst lacking the predicted outcome. Singapore engages in tax competition despite their authoritarian system of governance. The People's Action Party (PAP), has ruled continuously in Singapore since independence in 1965, scoring as an "anocracy" on the Polity scale that Genschel et al. (2016, 306) use in their empirical analysis. Singapore vigorously competes for foreign capital, directly contradicting the outcome the model suggests. This gap between theory and observation makes Singapore an appropriate deviant case which exposes the boundary conditions of the article's framework, raising the question of what factors the theory fails to account for.

Figure 1

Singapore: Corporate Tax Rate & FDI Net Inflows



(Sources: Tax Foundation, IRAS, World Bank, IMF, UNCTAD)

This is evident by their aggressively low statutory corporate tax rate which has been at 17% since 2010. As seen in figure 1 this rate is the product of a series of corporate tax rate cuts over

more than 4 decades dropping steadily from 40% in 1983 to the current rate of 17%. Over the same period FDI inflows rose similarly as steady, with significant drop-offs only occurring during exogenous shocks. This inverse relationship is not a passive feature of the Singaporean fiscal system but the product of explicit state strategy which combined decreasing tax rates with targeted incentives for key sectors and MNCs.

Verweij and Pelizzo (2009, 21) highlight how the PAP government actively attracted MNCs through tax holidays and purpose-built industrial parks. Singapore's high savings rate was used to direct funds to infrastructure which would attract foreign investment. Genschel et al. (2016, 305) themselves recognize this, describing Singapore as a non-democratic tax haven for multinational corporations. The question therefore is why the theory fails here. The authors' willingness mechanism predicts that autocrats face no structural pressure to attract capital, but in Singapore, a city state with no natural resources, no agricultural base, and a relatively small population, PAP could not sustain itself through the networks of elite patronage that the selectorate model bases its logic on. Khondker (2008, 48-9) argues that Singapore's state autonomy is embedded in global economic structures, noting in particular that state legitimacy increases with FDI inflows, generating a competitive economic pressure independent of democratic accountability meaning the assumptions of Genschel's willingness mechanism fail when foreign capital attraction becomes a structural necessity. Verweij and Pelizzo (2009) argue that PAP explicitly ties its claims to govern to its ability to generate prosperity, it is the foundation of PAP's ruling mandate. The incentive therefore becomes one which functionally parallels that of a democratic government. Even in the absence of elections their power rests on the economic performance of the country. The author's framework treats all non-democratic states as if they operate with the same underlying models of legitimacy and hence the same policy incentives. Genschel's theory lacks the robustness to accommodate for atypical models of legitimacy in an autocratic state.

In addition to challenging the willingness, Singapore also challenges the ability dimension of Genschel's argument. The theory holds that autocracies fail to attract as much capital as democracies no matter the tax rate due to an absence of rule of law and institutional checks, which would normally ensure a certain stability that reassures wary investors. Singapore once again breaks the trend on this front, noted as particularly reliable on property rights (Genschel et al. 2016, 297). The link between institutional credibility and drawing in investment is well established (North 1990). Singapore's strong rule of law, despite it being atypical of an autocratic regime, nonetheless places it in a different institutional category from its autocratic peers. Singapore is not an empirical anomaly but instead a structurally distinct case. The institutional barrier that is taken as a given by the theory is simply absent in Singapore's case, again by their own recognition. Once more the theory operates with the assumption that the dominant trends in autocratic regimes hold true in all cases.

Conclusion

That is not to say that these findings amount to a blanket rejection of the framework which Genschel and co-authors propose. This essay has argued that their theory of tax competition, whilst analytically useful in the aggregate, operates on a level of abstraction which flattens the

complexity within autocratic regimes, a fact brought into focus when applying it to Singapore's case. The core insight of their theory: that regime type shapes tax competition, remains valuable. What would make it more robust is to change the unit of analysis from regime type to the regime's source of legitimacy. When autocratic survival is not tied to the dominant autocratic legitimacy source of elite patronage and coercion, and is instead more in line with the sources of legitimacy that democratic regimes are subject to, i.e. economic performance, the autocratic regime operates much like its democratic counterparts. Genschel et al. (2016, 294) gesture toward this dependence on foreign capital when they note Singapore's uniqueness, yet they do not adopt this alternative unit of analysis. Future research on tax competition in non-democratic contexts would benefit from this more nuanced approach which disaggregates autocracies, breaking them down by legitimacy structure rather than treating regime type as a homogenous explanatory variable.